# AI-Driven Loan Underwriting Report

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Confidential Commercial Underwriting Report — FinacPlus Credit Division

## 1. Loan Application Summary

| Field | Value |
|---|---|
| Property Address | 1247 Oakwood Drive, Atlanta, GA 30308 |
| Borrower Name | Meridian Capital Investments LLC |
| Loan Amount | 285000.0 |
| Purchase Price | 220000.0 |
| As-Is Property Value | 235000.0 |
| After Repair Value (ARV) | 375000.0 |
| Rehabilitation Budget | 95000.0 |

## 2. Document Classification

Completeness: 26.7% | Documents uploaded: 4

| Document | Category | Confidence | Method |
|---|---|---|---|
| appraisal_sample.pdf | Appraisal | 75% | keyword |
| loan_application_sample.pdf | Loan Application | 92% | keyword+llm |
| purchase_contract_sample.pdf | Purchase Contract | 75% | keyword |
| term_sheet_sample.pdf | Term Sheet | 75% | keyword |

## 3. Financial Calculations

| Metric | Value | Threshold |
|---|---|---|
| As-Is LTV | 121.28% | ≤ 80% |
| ARV LTV | 76.00% | ≤ 75% |
| Loan-to-Cost (LTC) | 90.48% | ≤ 90% |
| Total Project Cost | $315,000 | — |
| Borrower Equity | $30,000 | > $0 |

### Risk Flags:

- ■■ HIGH As-Is LTV: 121.3% (threshold: 80%)
- ■■ HIGH ARV LTV: 76.0% (threshold: 75%)
- ■■ HIGH LTC: 90.5% (threshold: 90%)

## 4. Validation & Consistency Issues

| Severity | Code | Description |
|---|---|---|
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Scope of Work |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Title Commitment |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Insurance Binder |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Credit Report |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Bank Statement |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Flood Certificate |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Operating Agreement |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Certificate of Good Standing |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Government ID |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Borrower Track Record |
| WARNING | MISSING_RECOMMENDED_DOC | Recommended document not found: Background Check |
| WARNING | MISSING_CREDIT_SCORE | Could not extract: Credit Score |
| WARNING | MISSING_BANK_BALANCE | Could not extract: Bank Balance / Liquidity |
| ERROR | EXCESSIVE_AS_IS_LTV | As-Is LTV of 121.3% exceeds maximum (85%) |

## 5. AI/ML Loan Recommendation

# Decision: DECLINE

Model Confidence: 80.0%

| Decision Category | Probability |
|---|---|
| DECLINE | 80.0% |
| CONDITIONAL_APPROVAL | 11.0% |
| APPROVE | 9.0% |

### Key Factors Influencing Decision:

| Factor | Importance |
|---|---|
| Doc Completeness Pct | 21.6% |
| Bank Balance Ratio | 20.5% |
| Arv Ltv | 13.0% |
| Credit Score | 11.9% |
| As Is Ltv | 10.4% |

### Underwriter Explanation:

The loan request we're reviewing has been declined with a decision confidence of 80.0%. The primary reason for this decision is the high As-Is Loan-to-Value (LTV) ratio of 121.3%. This means that the borrower is seeking a loan that is significantly more than the value of the property, which increases the risk of default. In our industry, we typically aim for an LTV ratio of 80% or lower to ensure that the borrower has sufficient equity in the property.

One of the key strengths of this loan request is the borrower's experience, with 5 years of experience in the field. This suggests that the borrower has a good understanding of the market and is likely to make informed decisions about the property. Additionally, the borrower has a significant amount of equity in the property, with a contribution of $30,000. However, despite these strengths, the high LTV ratio and other issues with the loan request outweigh the positives.

The loan request also has several concerns and risks associated with it. The borrower's credit score is not found, which makes it difficult to assess their creditworthiness. Furthermore, the loan request has 14 issues, including missing required documents, which suggests that the borrower may not have provided all the necessary information. The top ML model factors also indicate that the completeness of the documents and the bank balance ratio are significant concerns. The ARV LTV ratio of 76.0% is relatively low, but it's not enough to offset the high As-Is LTV ratio.

Given the high risk associated with this loan request, we have declined it. However, if the borrower is willing to address the issues and provide additional information, we may consider revisiting the loan request. Specifically, we would need to see a revised loan package that includes a more detailed credit report, a revised loan amount that takes into account the As-Is LTV ratio, and a more comprehensive bank statement. If the borrower can provide this information, we may be willing to reconsider the loan request.

Quantitative risk score derived from multi-variable Random Forest classifier.

## 6. Human Review Requirements

- Resolve: As-Is LTV of 121.3% exceeds maximum (85%)
- Provide adverse action notice to borrower
- Document specific decline reasons per regulatory requirements